

The Cash Engine and the Vault

My philosophy on business ownership with real estate, and why one without the other leaves money on the table.

By Ryan Miller

Most people pick a side.

They're a "business person" or a "real estate person." They argue about which one is better, like it's a team sport. We all know LSU is the best anyway!

I think that's the wrong question. I don't run a business instead of owning real estate. And I don't buy real estate instead of running a business. I do both, on purpose, and in a certain order, because they do two completely different jobs.

One makes the money. The other keeps it, grows it, and protects it from taxes.

The business is the cash engine. Real estate is the vault.

Once that clicked for me, almost every money decision got simpler. Here's how I look at it.

First, You Need a Cash Engine

You see, real estate is patient money. It builds wealth slow and quiet, over years. That's its strength. It's also why it's a rough place to start.

I found that out firsthand. When I started buying real estate, those first 10 units basically took me and my wife out on one nice date. That was it. That was the cash flow.

Think about that. After the mortgage, the taxes, the insurance, the repairs, and a vacancy you didn't plan for, the cash flow is thin. Real if you bought it right. But thin.

So, if your whole plan is "buy enough rentals to quit my job," you're signing up for a 20 year wait and a pile of debt you might not make it through.

A business is different. A business is an engine. It's active, it's faster, and it puts real cash in your hands now. The kind of money that changes your life in a few years instead of a few decades.

That's why I bought one.

And let me be clear about what I mean by "buy." I mean buy a business that already makes money. Not a franchise, not a start-up. Don't start one from scratch. Starting from zero is where most people lose. When you buy a business that already has customers, revenue, and a team, you skip the part with the highest failure rate. You're not praying somebody wants what you built. You're buying proven cash flow and learning to run it.

The business is where the money gets made. It runs hot, it takes work, and it carries more risk than a paid off duplex ever will. That's the trade. Hard work, real control, real cash.

But an engine with nowhere to send its power just burns fuel and makes noise. And that's exactly where most owners get it wrong.

Your Savings Rate Is the Fuel Line

Here's the unglamorous truth nobody posts about. Your savings rate matters more than your income.

We've all seen it. Somebody grows a business, triples what they take home, and ends up no richer than before. The lifestyle grew right alongside the income. More truck. More house. More toys. The engine got bigger and so did the hole it poured into.

The cash engine only builds wealth if you actually keep what it makes. That's the fuel line between the two halves of this whole thing. A business that earns well and an owner who saves poorly is just a faster way to run in place.

So I keep score on one number. Savings rate. Not revenue. Not "look how big we're growing." How much of what comes in gets kept and put back to work. That kept money is what you load into the vault.

Then You Park It in Real Estate

Once the engine is running, and you've got the discipline to keep what it makes, you've got one question left. Where does that money go?

Not into a stock ticker I check every morning and stress over. Not into something I can't see, touch, or do anything about.

It goes into real estate. The vault.

There's a Franklin Roosevelt line I keep coming back to.

"Real estate cannot be lost or stolen, nor can it be carried away. Purchased with common sense, and managed with reasonable care, it is about the safest investment in the world."

That's exactly the job real estate does for me. It's durable. It doesn't disappear in a bad week. It can't be deleted. It just sits there, gets paid down by somebody else, and grows while I run the engine that feeds it.

Now let me be clear about how I own it, because this is where I split from a lot of the real estate crowd.

I'm a buy and hold owner. I don't flip and I don't wholesale.

Flipping and wholesaling aren't investing. They're businesses. Jobs, really. Good ones for some folks, but jobs. The day you stop hustling, the income stops. And if I'm going to run a business, I'd rather own a real one, with a team and repeat customers, than chase the next house to flip. I have tried both, and owning a business wins for me 10 out of 10 times.

Real estate isn't the hustle for me. The business is the hustle. Real estate is where the profit from that hustle goes to sit, grow, and stay protected. Ownership, not activity. You buy it, you hold it, and you let time do the heavy lifting.

The Trifecta of Value-Add Real Estate

If real estate is the vault, value-add real estate is the vault that pays you three ways at once. This is the part that, once it hit me, made the whole thing make sense.

When you buy a property you can improve, you stop waiting on the market to make you money. You raise the rents, cut the waste, and fix what the last owner let slide. You force the return yourself. And you get three wins stacked right on top of each other.

1. Long-Term Wealth (the slow, certain part)

Three things build your equity quietly, month after month, whether you're watching or not.

- **Appreciation.** The property tends to be worth more over time. On average, a property doubles in value about every 15 years. That \$400K duplex is worth \$1.6M in 30 years.
- **Principal paydown.** Your tenants pay off your loan for you. You wake up owning more of it every month and you never lifted a finger.
- **Forced equity.** This is the value-add piece. Improve the property and raise its income, and you raise what it's worth. You build the equity instead of waiting around for it. The gain is made on the buy and the work, not on a prayer about the market.

2. Near-Term Tax Benefit (the part most people sleep on)

This is the leg that ties the whole thing back to the business, and it's the most underrated of the three.

You see, the tax code rewards owning real estate like almost nothing else. Through depreciation, and faster tools like cost segregation and bonus depreciation, real estate can show big paper losses even while it's putting cash in your pocket. On paper you "lost" money. In the bank, you made it.

Here's where the marriage gets real. Your cash engine creates a tax problem. A profitable business throws off income that gets taxed hard. Done right, the paper losses from real estate can soak up that income, and a tax bill turns into the down payment on your next building.

I try to buy just enough real estate to not pay taxes. Yes, I said it. I don't want to pay a dollar more than I have to.

And here's the mindset most people get backwards. There's a reason Uncle Sam wrote these laws. They're not "loopholes." They're laws. Better yet, they're the rules of the game. You wouldn't make up your own rules to Monopoly, lose, and then blame the rules. So why do we do exactly that with money and taxes, and point the finger at everybody else when we come up short? That's the switch that must flip if you want to win the game.

When you buy and run a business, you help the economy. You create jobs. You spend money. You build something real. When you buy and improve real estate, you're doing the same thing. That's exactly why the government rewards you with the write-offs. You're doing the work it wants done.

Now the honest part, because I'd rather be right than impressive. The rules here are specific. Whether those real estate losses can cover your business income depends on how you're set up. Real estate professional status, how involved you are, the kind of rental it is. This is where

a team earns its keep. Get a tax strategist in your corner, not just a tax preparer. None of this is tax advice, and your situation is your own, so find a CPA who knows real estate before you build a plan around it. But get the principle. The government will hand you a discount for owning real estate. Most business owners walk right past it.

3. Cash Flow and Control

On top of the equity and the tax shield, a value-add deal bought right can still pay you every month. And because you forced the improvement, you control the return. You're not a passenger hoping the market plays nice. Cash flow, a tax shelter, and an asset that keeps growing, all from one buy.

Long-term wealth. Near-term tax. Upside you force instead of hope for. That's the trifecta. That's why I don't just buy real estate. I buy real estate I can make better.

Why the Two Marry

Step back and look at the whole machine, and you'll see why I refuse to pick a side.

- The **business** makes the money. Active, hard work, real return.
- Your **savings rate** decides how much survives.
- **Real estate** takes what survives and keeps it, grows it, and shelters it.
- And the **tax savings** from the real estate flow back to protect the income from the business.

It's a loop, not a line. Better yet, it's a flywheel. Get it spinning and it's almost impossible to stop. The business even creates the exact tax problem the real estate is built to solve. Each side makes the other stronger.

A business owner with no real estate is overpaying the IRS and parking all his wealth in the riskiest thing he owns, his own company. (Reinvesting in the business is a great way to make it worth more too, but that's a story for another day.) A real estate investor with no cash engine is building slow, on thin fuel and a mountain of borrowed money.

Put them together and they cover each other's weak spots. That's the whole idea behind what I'm building.

The Order Matters

One last thing, because the order is where people trip.

Build the engine first. Get the cash flowing. Push your savings rate up until keeping money is just a habit. Then move into real estate, on purpose, one good deal at a time.

Don't buy real estate hoping it becomes your paycheck. Early on it's too slow and too thin for that. And don't let a good business quietly make you broke by spending everything it earns. Make it in the business. Keep it with your savings rate. Grow it and protect it in real estate.

In that order, it works. Out of order, you stall out.

Why I Build It This Way

I didn't come up with this to sound smart. In fact, I didn't really come up with it at all. I learned it, and I use it, because I want to build something that outlasts me.

You see, Proverbs says a good man leaves an inheritance to his children's children. I take that to heart. This was never about a nicer car or a number to brag about. The people chasing that usually end up with neither the money nor the peace. For me it's about stewardship. Building something durable, paid for, and productive, that keeps giving long after the work that built it is done.

A cash engine you run yourself will slow down eventually. You'll sell it, hand it off, or step back. Real estate, owned free and clear and taken care of, just keeps going. It's the part of the plan built to outlive the plan.

That's the marriage. The business is how you make it. Real estate is how you keep it, grow it, and pass it on.

Make it. Keep it. Multiply it. Leave it better than you found it.

— Ryan

P.S. If this helped, follow along on Instagram at **@ryanmillerinvests**. That's where I share how I'm actually building wealth through business and real estate, with no fluff. Come say hi and tell me what you're working on.